

Wage statement: computation of regular rate of pay and back wages owed.

Computations: invalid section 7(f) plans.

Where it is found that a guaranteed weekly wage plan does not meet the requirements of FLSA section 7(f) during a particular period of time for a particular employee, a violation will exist for that employee and the total amount of his/her guaranteed wage as specified in the contract or agreement determines his/her regular rate of pay during the period of violation.

Illustration

A section 7(f) plan has been determined to be invalid for a particular employee. The rate specified in the contract or agreement is \$4.00 per hour and a guaranty of \$220.00 to cover straight-time and overtime compensation for 50 hours is provided. No bonuses or other additions to wages are paid to the employee.

(1) In a week in which he/she worked 45 hours the employee's regular rate of pay would be \$220.00 divided by 45 hours, or \$4.88. In addition to the \$220.00 already paid to him/her under his/her guaranty, he/she would be entitled to receive half-time for the 5 overtime hours, or \$12.20.

(2) In a week in which the employee worked 50 hours, the number of hours for which pay was guaranteed, his/her regular rate would be \$220.00 divided by 50 hours, or \$4.40. He/she would be entitled to receive an additional \$22.00 for the 10 overtime hours.

(3) In a week in which the employee worked 55 hours and received under his/her contract or agreement the total amount of \$250.00 (\$220.00 under his/her guaranty and \$20.00 as straight-time pay and \$10.00 as overtime premium for the 5 additional hours) his/her regular rate of pay would still be determined by dividing the amount of his/her guaranty, \$220.00, by the number of hours for which pay was guaranteed, 50 hours. His/her regular rate for that week would thus again be \$4.40 and total compensation due would be (\$220.00 + \$22.00) plus overtime premium, or \$275.00. Back wages due would be \$275.00 minus \$250.00, or \$25.00.

Source: U.S. Department of Labor, Wage and Hour Division, Field Operations Handbook, Chapter 32, Section 32g07 (public domain government publication).